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[22JUGEHSS22]

FOURTH SEMESTER B.Tech EXAMINATION, MAY-2024

MANAGERIAL ACCOUNTING

Time: 3 Hours **Maximum Marks: 100**

ANSWER ALL QUESTIONS

		PART-A	**05 x 02=10**		
1.	**a.**	Define management accounting.	L1	CO1	**02**
	b.	State any two objectives of cost accounting.	L1	CO2	**02**
	c.	Explain the concept of margin of safety.	L2	CO3	**02**
	d.	Describe the purpose of preparing cash flow statement.	L2	CO4	**02**
	e.	Distinguish between cost center and profit center.	L4	CO5	**02**
		PART-B	**06 X 05=30**		
2.	**a.**	Explain the tools and techniques used in management accounting.	L2	CO1	**05**
		OR			
	b.	Describe how management accounting satisfies the various needs of management for arriving at appropriate business decisions.	L2	CO1	**05**
3.	**a.**	Differentiate between cost accounting and financial accounting.	L4	CO2	**05**
		OR			
	b.	Examine the various elements of cost.	L4	CO2	**05**
4.	**a.**	Explain the types of problems which a management accountant can expect to solve with Break Even Analysis.	L2	CO3	**05**
		OR			
	b.	Explain the different centres in Responsibility Accounting.	L2	CO5	**05**
5.	**a.**	State the importance of cash flow analysis.	L1	CO4	**05**
		OR			
	b.	Explain the components of cash flow from operating activities.	L2	CO4	**05**
6.	**a.**	From the following data related to Bronze Ltd, calculate Break Even Point in units as well as in amount in(Rs.)	L3	CO3	**05**

Particulars	**Amount (Rs.)**
Sales (12,000 units at Rs.10 per unit)	1,20,000
Less: Variable Cost at Rs.8 per unit	96,000
Contribution	24,000
Less: Fixed Cost	8,000
Net Profit	16,000

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		OR			
	b.	"All controllable costs are direct costs, not all direct costs are controllable." Examine	L4	CO2	**5**
7.	**a.**	Critically evaluate the importance of marginal costing.	L5	CO3	**5**
		OR			
	b.	Explain the meaning of (i) Direct wages and (ii) Direct Expenses.	L2	CO2	**5**
		PART-C		**06 X 10=60**	
8.	**a.**	'Management accounting provides immense help in management decision making.' Examine.	L4	CO1	**10**
		OR			
	b.	Explain the nature and scope of management accounting.	L2	CO1	**10**
9.	**a.**	Describe the various methods and techniques of cost accounting.	L2	CO2	**10**
		OR			
	b.	Prepare a specimen of a simple cost sheet with illustration.	L3	CO2	**10**
10.	**a.**	Discuss how marginal costing techniques is useful in day to day decision making.	L2	CO3	**10**
		OR			
	b.	The sales and profit of Beta Ltd. for last two quarters is given below:	L3	CO3	**10**

Quarter Ended	**Sales (Rs.)**	**Profit (Rs.)**
July 2023	25,000	5,000
September 2023	37,500	10,000

Required:

Calculate: (a) Profit/Volume Ratio; (b) Fixed Costs (c) Amount of profit and variable costs for sales of Rs. 20,000.

11.	**a.**	'Cash flow statement reveals the effects of transactions involving movement of cash.' Explain.	L2	CO4	**10**
		OR			
	b.	'The expression of cash is used in a wider sense to include cash equivalents as well as while preparing the cash flow statement.' Explain the kind of items included in cash equivalents.	L2	CO4	**10**
12.	**a.**	Explain the various approaches to responsibility accounting.	L2	CO5	**10**
		OR			

	b.	'Responsibility accounting is to facilitate planning, costing and overseeing the responsibility centers in a company'. Discuss	L2	CO5	**10**
13.	**a.**	Explain in what ways do the roles and responsibilities of management accountants differ from financial accountants.	L2	CO1	**10**
		OR			
	b.	Following are the transactions of Hari Steel Ltd. For the year ended March 31, 2024: **i.** Purchased real estate for Rs.5,00,000 which was borrowed from a bank. **ii.** Sold investment securities worth Rs.6,00,000. **iii.** Paid dividends of Rs.3,00,000. **iv.** Issued 500 equity shares for Rs.3,50,000. **v.** Purchased machinery and equipment for Rs.1,75,000. **vi.** Paid Rs.7,50,000 toward a bank loan. **vii.** Accounts receivable outstanding of Rs. 1,00,000 were paid **viii.** Accounts payable were increased by Rs.1,90,000. Required: Calculate the net cash used in (1) investing activities and (2) financing activities	L3	CO4	**10**